

Reference Books

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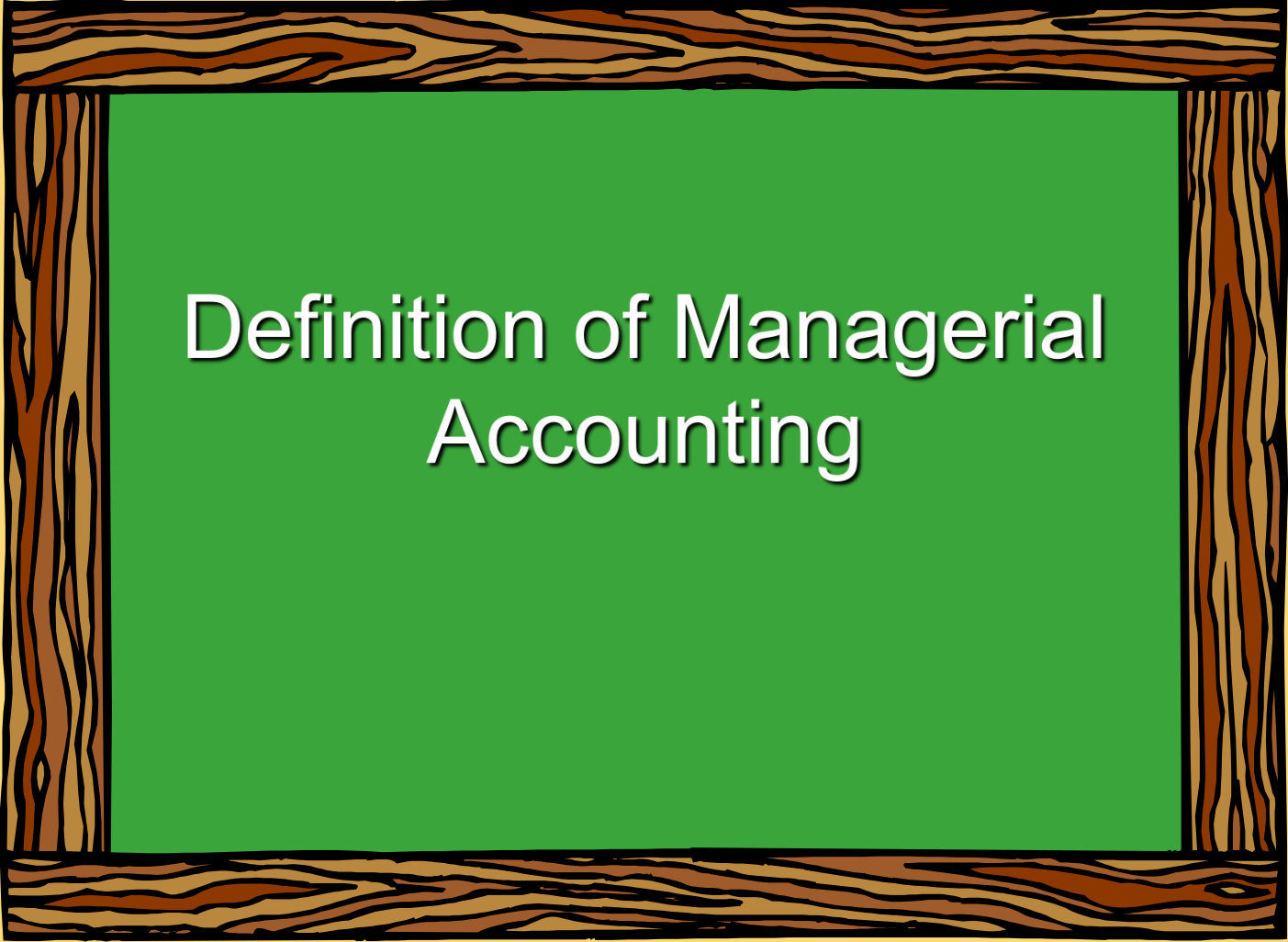
Managerial Accounting and the Business Environment

Chapter 1

Purposes of chapter 1

- Definition of Managerial Accounting
- Identify the major differences between financial and managerial accounting.
- Understand the role of management accountants in an organization.
- Understand the basic concepts underlying Lean Production, the Theory of Constraints, and Six Sigma.
- Understand the importance of upholding ethical standards.

Learning Objective 1



Definition of Managerial
Accounting

- Managerial Accounting

A field of accounting that provides financial and non-financial information (an information system) for managers and other internal users to make decisions for an organization.

- Information system
 - ◆ What is accounting?
 - ◆ As a company, who need its accounting information?
 - ◆ Three functions:
 - Scorekeeping
 - Attention directing
 - Problem solving

Work of Management

Planning

**Directing and
Motivating**

Controlling



Planning

Identify
alternatives.

Select alternative that does
the best job of furthering
organization's objectives.

Develop budgets to guide
progress toward the
selected alternative.



Directing and Motivating

Directing and motivating involves managing day-to-day activities to keep the organization running smoothly.

- ◆ Employee work assignments.
- ◆ Routine problem solving.
- ◆ Conflict resolution.
- ◆ Effective communications.



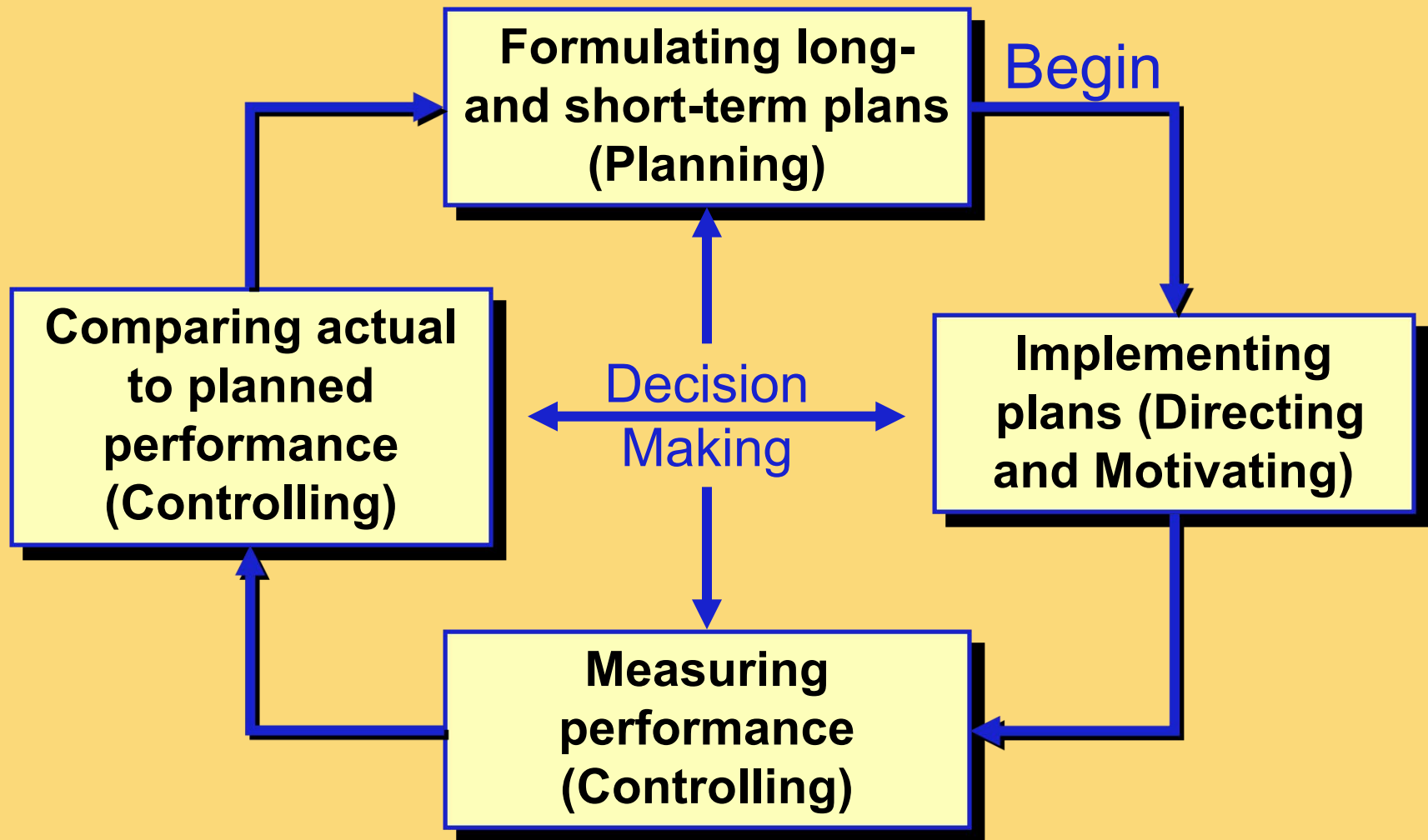
Controlling

The control function ensures that plans are being followed.

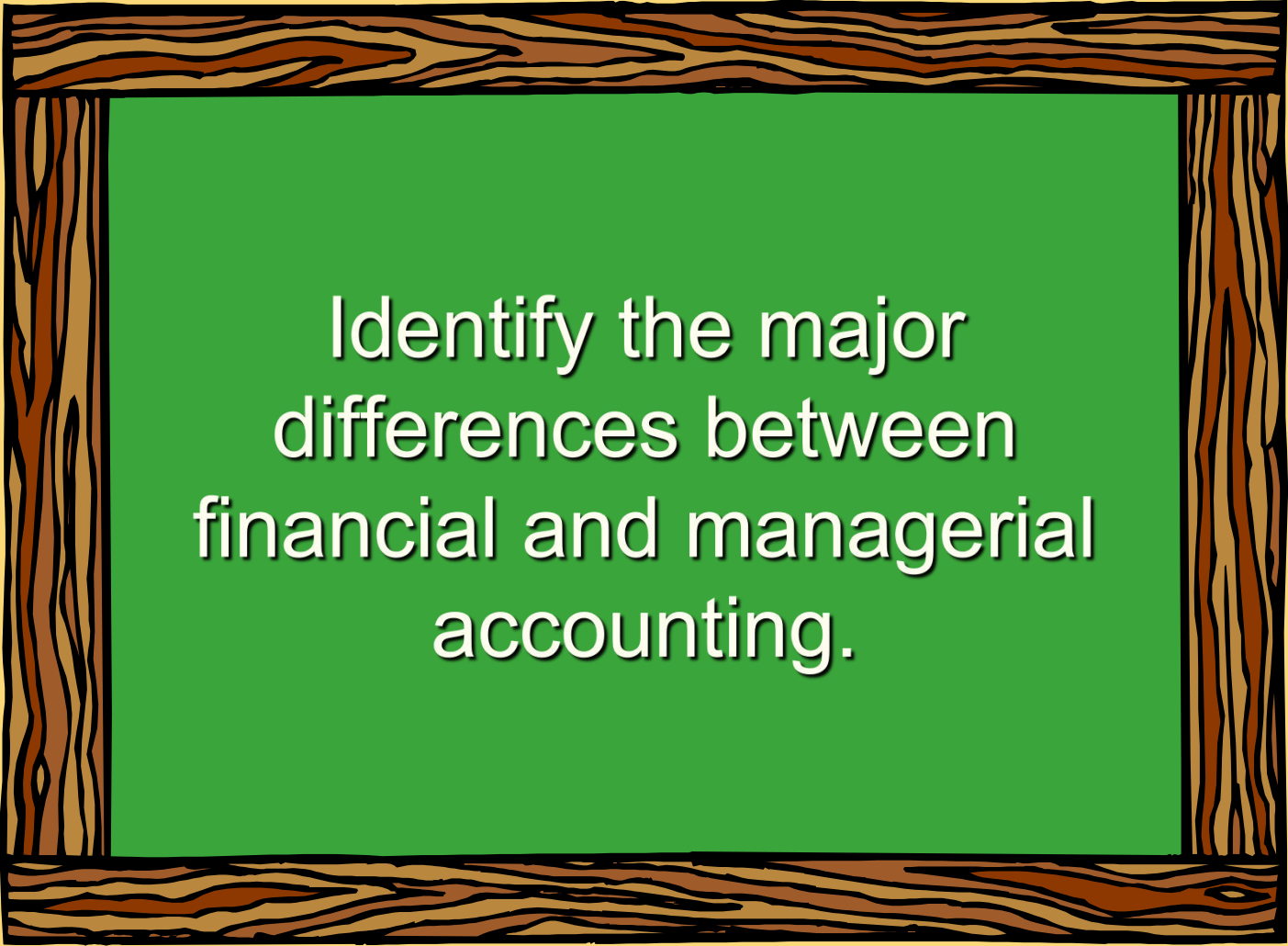
Feedback in the form of performance reports that compare actual results with the budget are an essential part of the control function.



Planning and Control Cycle



Learning Objective 2



Identify the major differences between financial and managerial accounting.

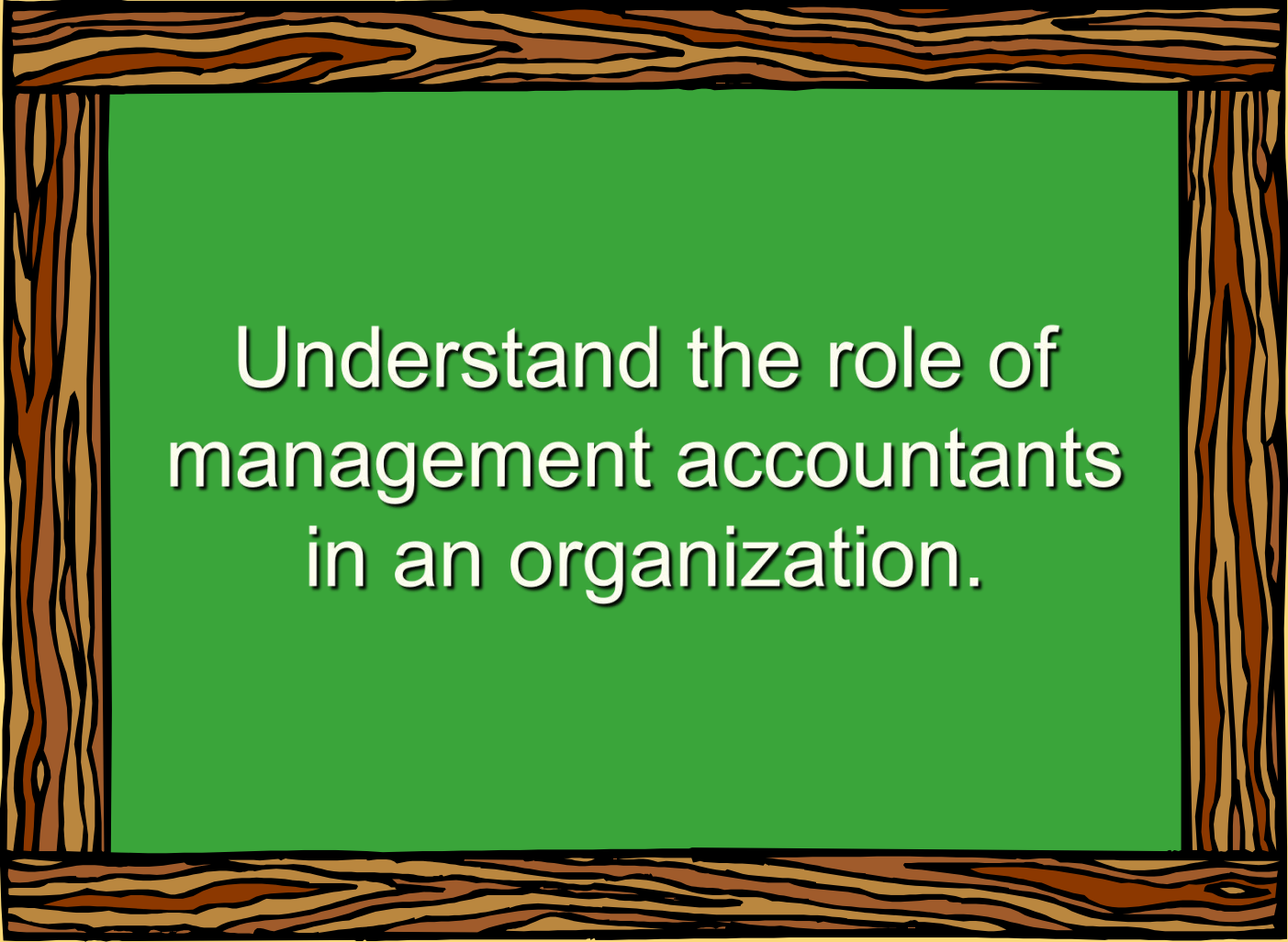
Financial Accounting

- Field of accounting that treats money as a means of measuring economic performance. It **encompasses** the entire system of monitoring and control of money as it flows in and out of the firm as assets and liabilities, and revenues and expenses. Financial accounting gathers and summarizes financial data to prepare financial reports such as balance sheet and income statement for the firm's management, investors, lenders, suppliers, tax authorities, and other stakeholders.

Comparison of Financial and Managerial Accounting

	Financial Accounting	Managerial Accounting
1. Users	External persons who make financial decisions	Managers who plan for and control an organization
2. Time focus	Historical perspective	Future emphasis
3. Verifiability versus relevance	Emphasis on verifiability	Emphasis on relevance for planning and control
4. Precision versus timeliness	Emphasis on precision	Emphasis on timeliness
5. Subject	Primary focus is on the whole organization	Focuses on segments of an organization
6. GAAP	Must follow GAAP and prescribed formats	Need not follow GAAP or any prescribed format
7. Requirement	Mandatory for external reports	Not Mandatory

Learning Objective 3

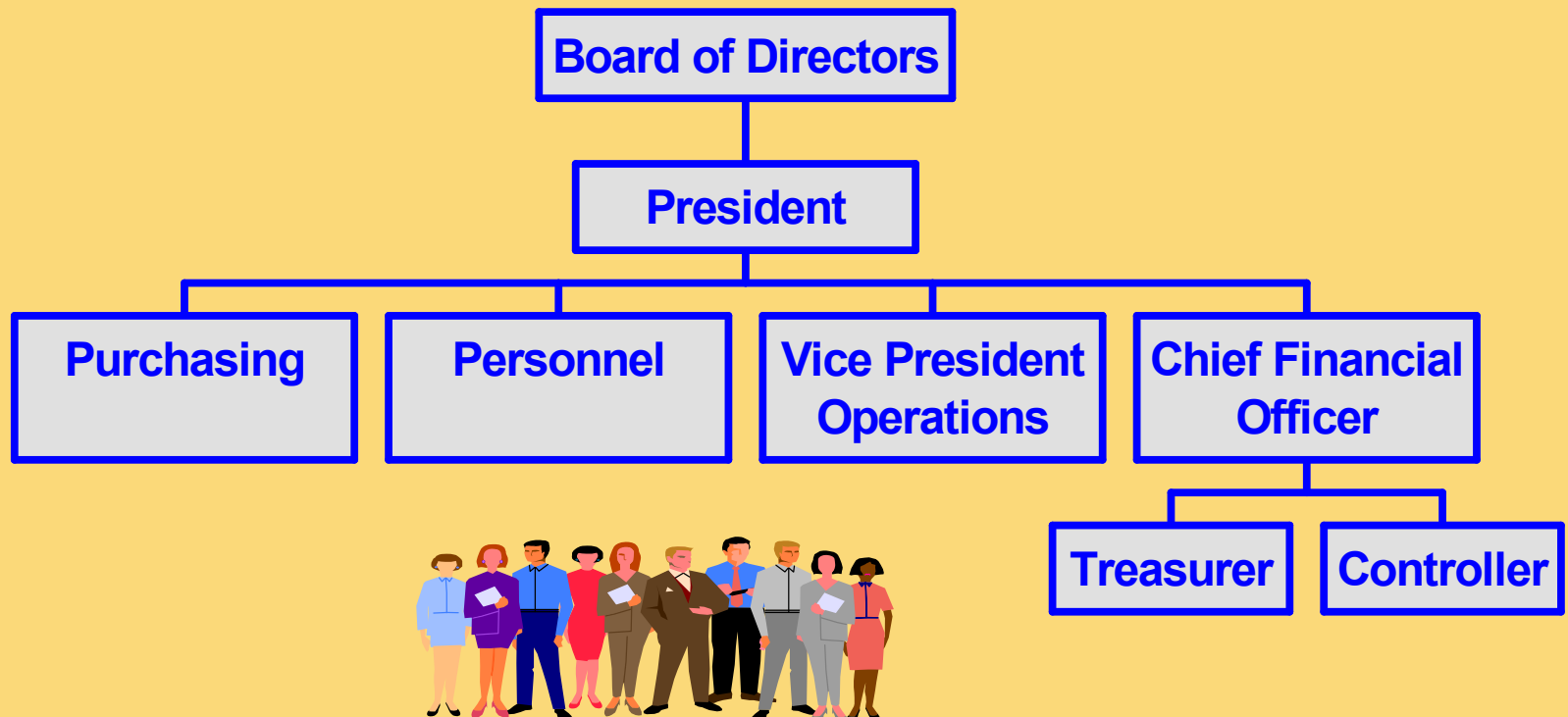


Understand the role of
management accountants
in an organization.

Organizational Structure

Decentralization is the delegation of decision-making authority throughout an organization.

Corporate Organization Chart



Line and Staff Relationships

Line positions are directly related to achievement of the basic objectives of an organization.

- ◆ Example: Production supervisors in a manufacturing plant.



Staff positions support and assist line positions.

- ◆ Example: Cost accountants in the manufacturing plant.



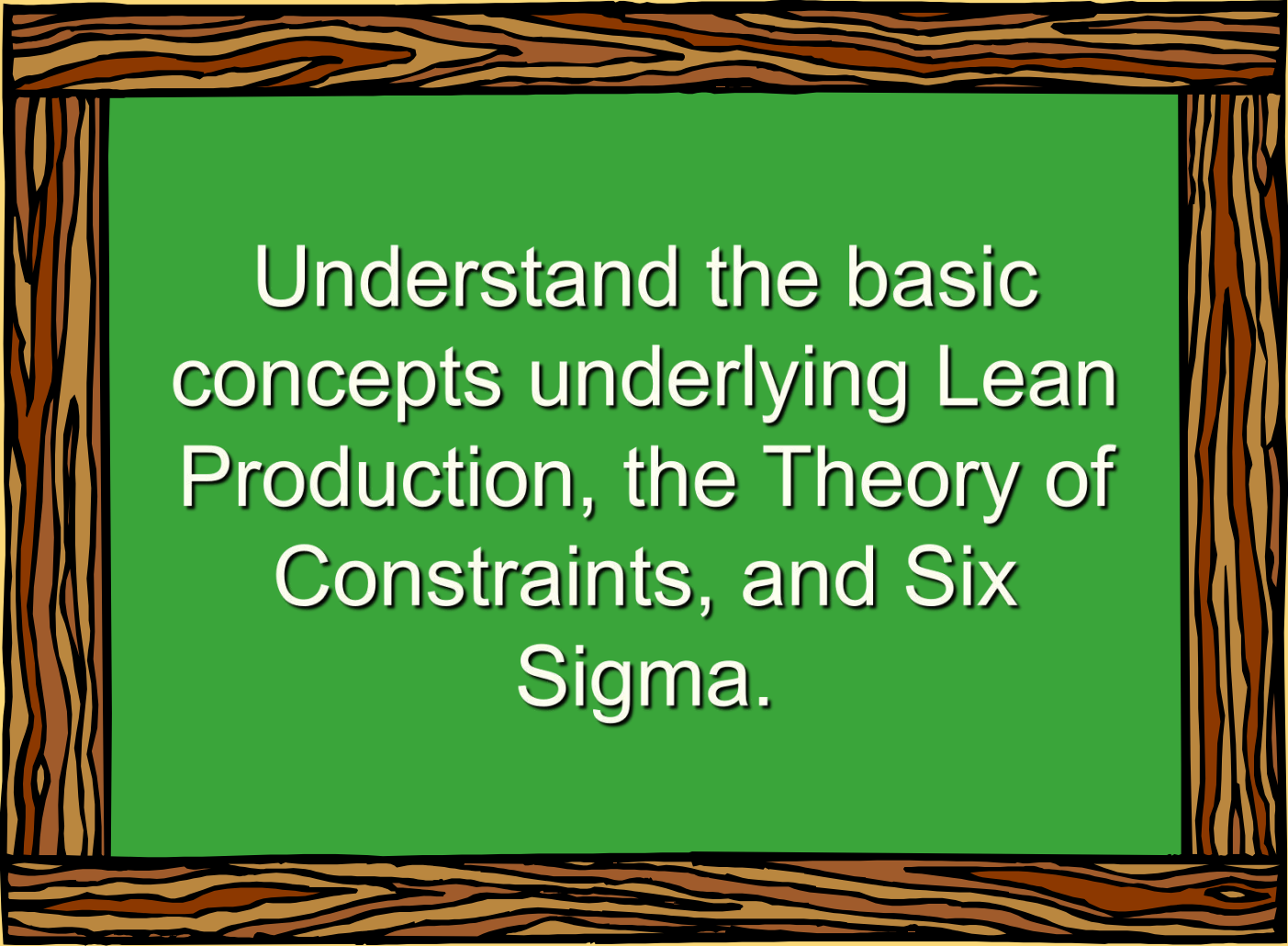
The Chief Financial Officer (CFO)

A member of the top management team responsible for:

- ◆ Providing timely and relevant data to support planning and control activities.
- ◆ Preparing financial statements for external users.



Learning Objective 4



Understand the basic concepts underlying Lean Production, the Theory of Constraints, and Six Sigma.

Process Management

A business process is a series of steps that are followed in order to carry out some task in a business.

R&D	Product Design	Manufacturing	Marketing	Distribution	Customer Service
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Business functions making up the value chain

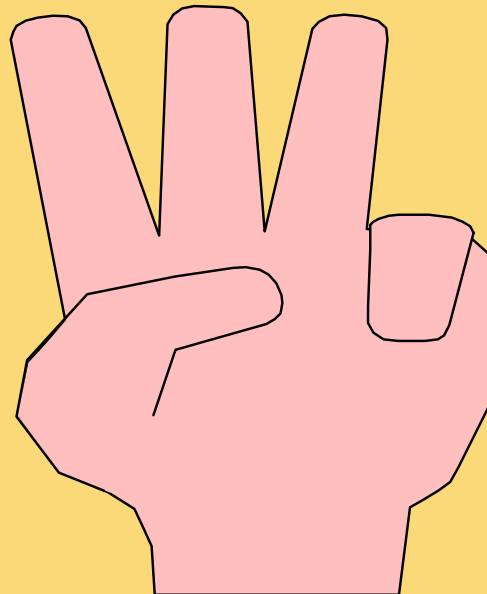
Process Management

There are three approaches to improving business processes . . .

② Theory of Constraints (TOC)

① Lean Production

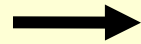
③ Six Sigma



Traditional “Push” Manufacturing Company



Forecast Sales



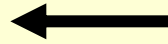
Order components



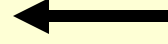
Store Inventory



Make Sales from
Finished Goods
Inventory

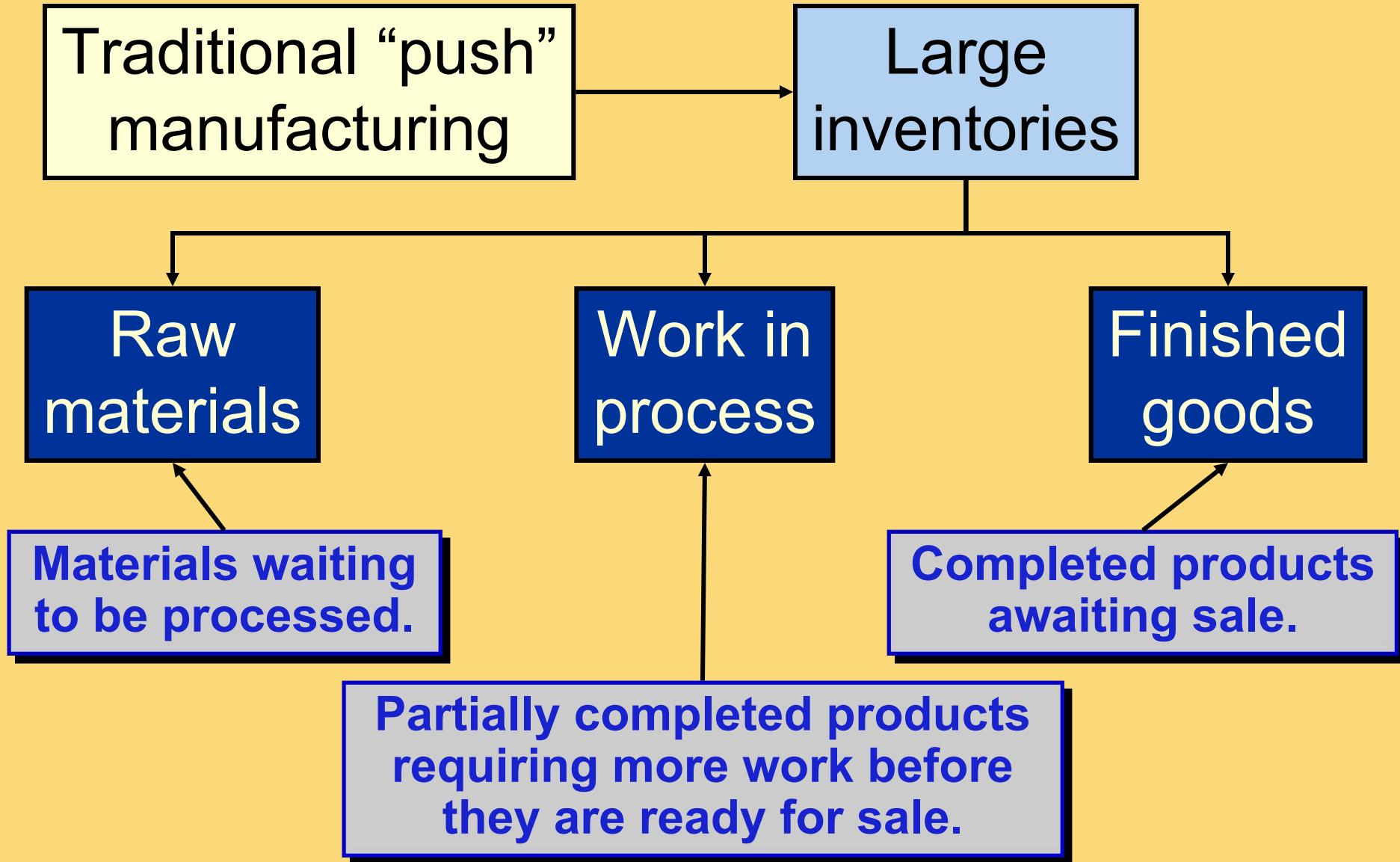


Store
Inventory



Produce goods in
Anticipation of Sales

Traditional “Push” Manufacturing Company



Lean Production

① Identify value in specific products/services.

② Identify the business process that delivers value.

The lean thinking model is a five step approach.

③ Organize work arrangements around the flow of the business process.

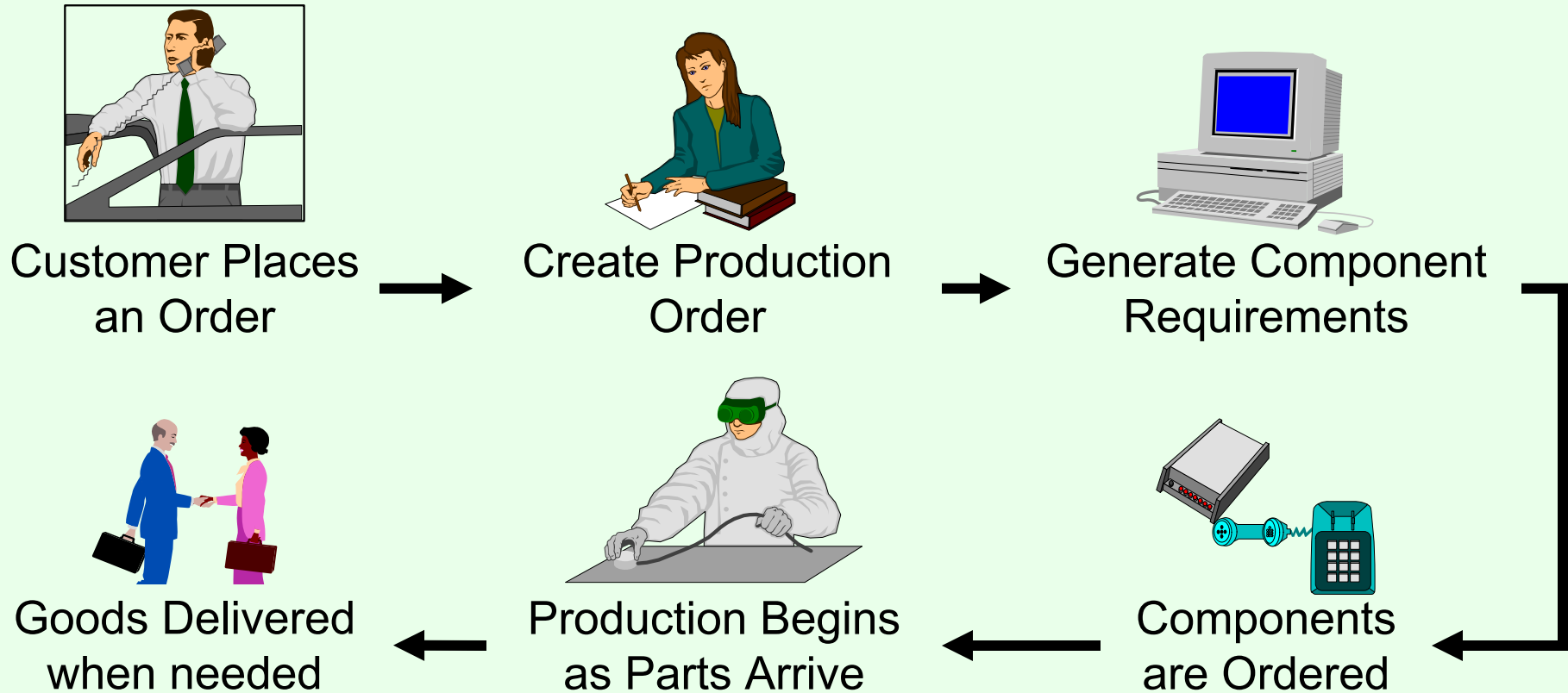
⑤ Continuously pursue perfection in the business process.

④ Create a pull system that responds to customer orders.



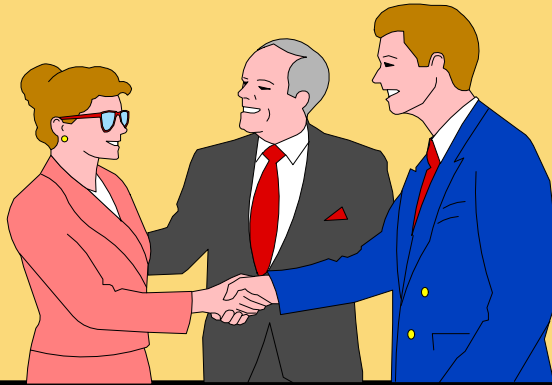
Lean Production

The five step process results in a “pull” manufacturing system that reduces inventories, decreases defects, reduces wasted effort, and shortens customer response times.



Lean Production

Lean thinking may be used to improve business processes that link companies together.



The term *supply chain management* refers to the coordination of business processes across companies to better serve end consumers.

Theory of Constraints

A **constraint** (also called a **bottleneck**) is anything that prevents you from getting more of what you want.

The Theory of Constraints is based on the observation that effectively managing the constraint is the key to success.



The constraint in a system is determined by the step that has the **smallest capacity**.

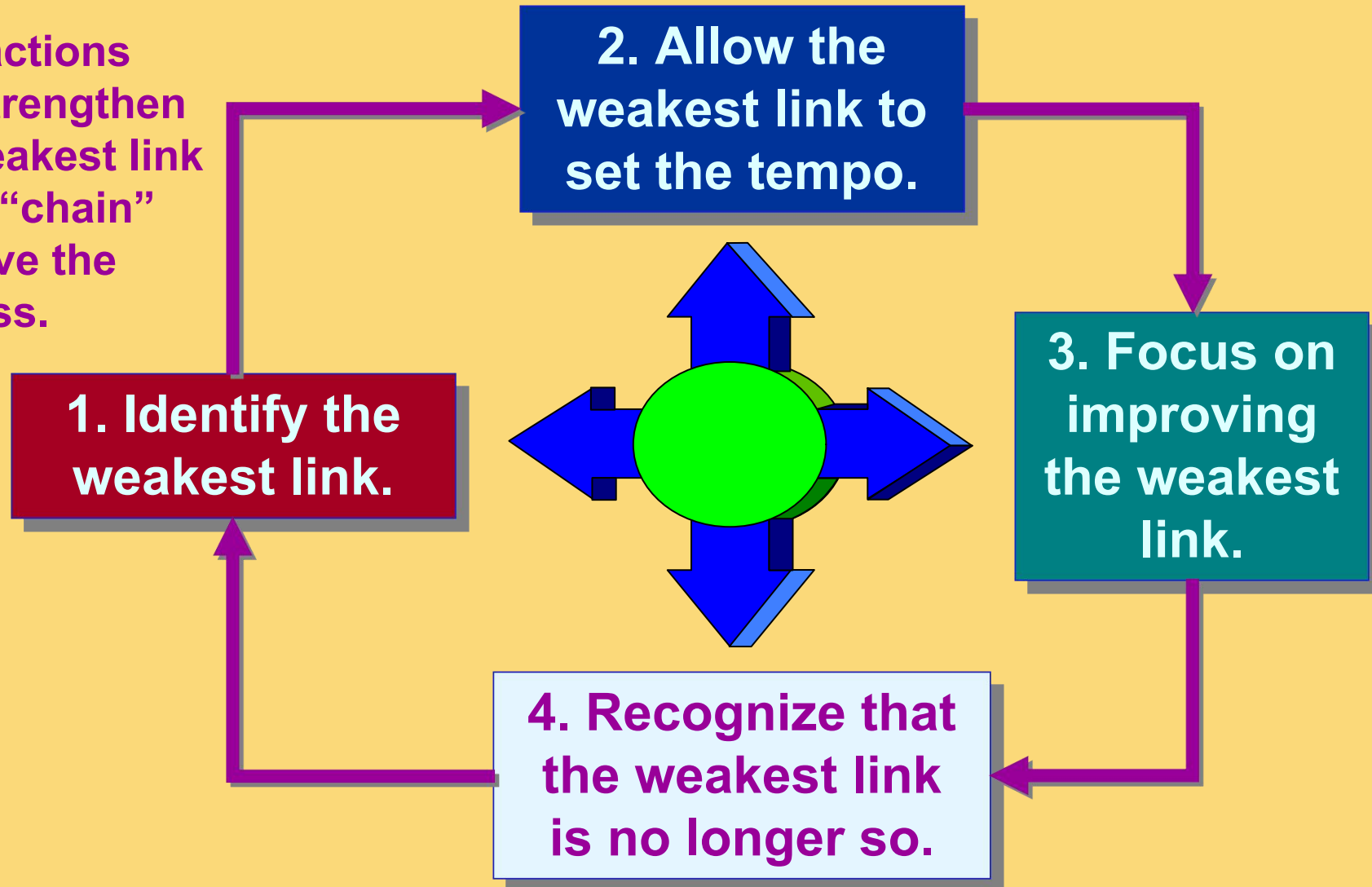
Examples

notice



Theory of Constraints

Only actions that strengthen the weakest link in the “chain” improve the process.



Six Sigma

A process improvement method relying on customer feedback and fact-based data gathering and analysis techniques to drive process improvement.

Refers to a process that generates no more than 3.4 defects per million opportunities.

Sometimes associated with the term *zero defects*.



Excellence!

Six Sigma

The Six Sigma **DMAIC** Framework

Stage	Goals
D efine	● Establish the scope and purpose of the project. ● Diagram the flow of the current process. ● Establish the customer's requirements for the process.
M easure	● Gather baseline performance data related to the existing process. ● Narrow the scope of the project to the most important problems.
A nalyze	● Identify the root cause(s) of the problems identified in the Measure stage.
I mprove	● Develop, evaluate, and implement solutions to the problems.
C ontrol	● Ensure that problems remain fixed. ● Seek to improve the new methods over time.

Learning Objective 5



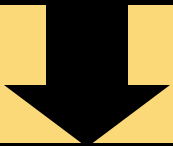
Understand the
importance of upholding
ethical standards.

Why Have Ethical Standards?

Ethical standards in business are essential for a smooth functioning advanced market economy.



Without ethical standards in business, the economy, and all of us who depend on it for jobs, goods, and services, would suffer.



Abandoning ethical standards in business would lead to a lower quality of life with less desirable goods and services at higher prices.

Code of Conduct for Management Accountants

The Institute of Management Accountant's (IMA) Standards of Ethical Conduct for Practitioners of Management Accounting and Financial Management have two major parts, which offer guidelines for:

- ❶ Ethical behavior.
- ❷ Resolution for an ethical conflict.



IMA Guidelines for Ethical Behavior

Maintain an appropriate level of professional competence by ongoing development of their knowledge and skills.

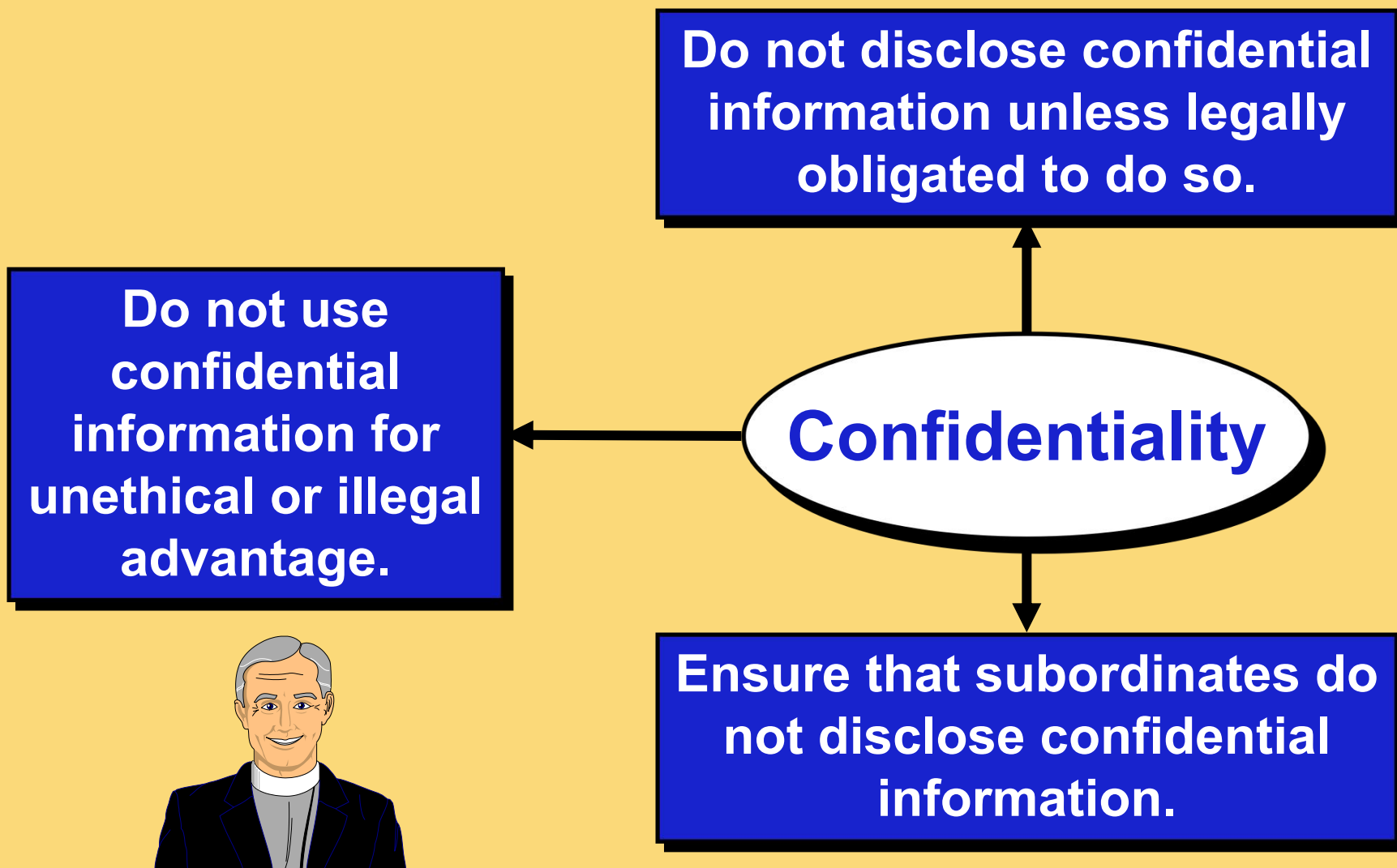


Competence

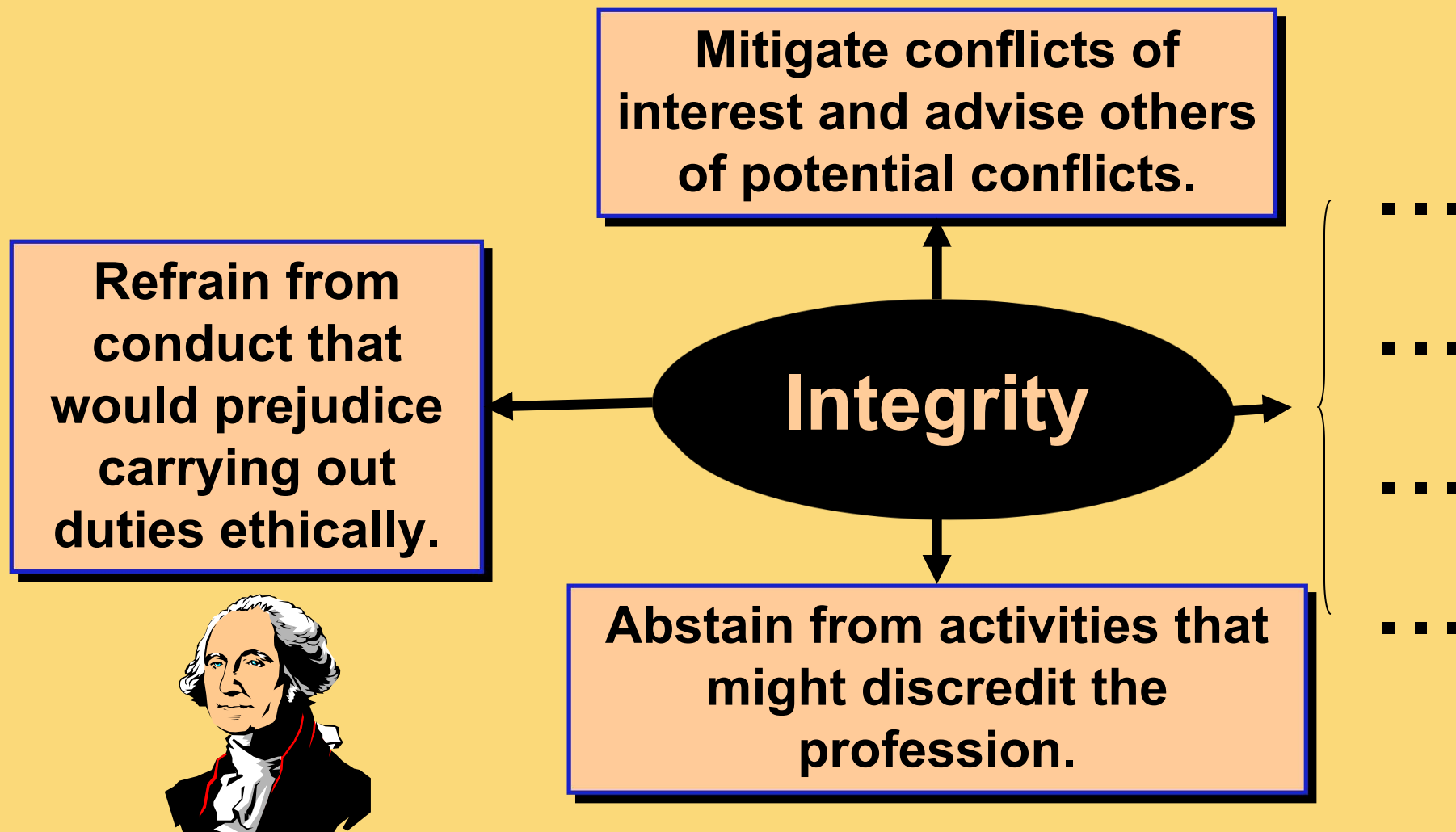
Perform their professional duties in accordance with relevant laws, regulations and technical standards.

Prepare complete and clear reports and recommendations after appropriate analysis of relevant and reliable information

IMA Guidelines for Ethical Behavior

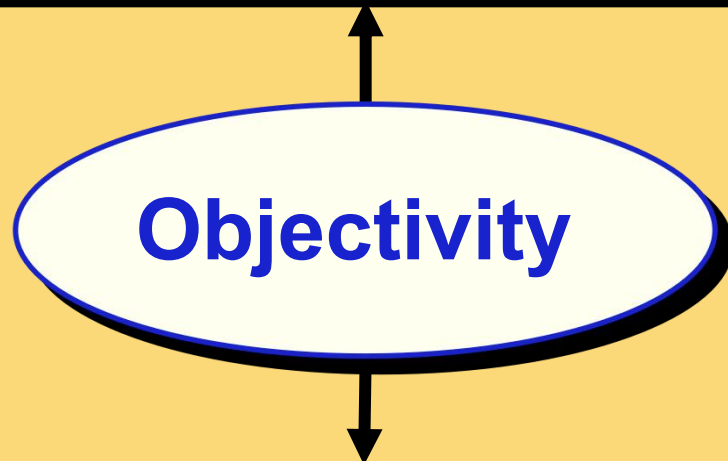


IMA Guidelines for Ethical Behavior



IMA Guidelines for Ethical Behavior

**Communicate information
fairly and objectively.**



**Disclose all relevant
information that could
influence a user's
understanding of reports
and recommendations.**



IMA Guidelines for Resolution of an Ethical Conflict

- **Follow employer's established policies.**
- **For unresolved ethical conflicts:**
 - ◆ Discuss the conflict with immediate supervisor or next highest uninvolved manager.
 - ◆ If immediate supervisor is the CEO, consider the board of directors or the audit committee.
 - ◆ Contact with levels above the immediate supervisor should only be initiated with the supervisor's knowledge, assuming the supervisor is not involved.



IMA Guidelines for Resolution of an Ethical Conflict

- **Follow employer's established policies.**
- **For unresolved ethical conflicts:**
 - ◆ Except where legally prescribed, maintain confidentiality.
 - ◆ Clarify issues in a confidential discussion with an objective advisor.
 - ◆ Consult an attorney as to legal obligations.



Company Codes of Conduct

Broad-based statements of a company's responsibilities to:

Employees

Customers

Suppliers

And to the communities in which the company operates.

Dell's Higher Standard

- Dell's success is built on a foundation of personal and professional integrity. We hold ourselves to standards of ethical behavior that go well beyond legal minimums. We never compromise these standards and we will never ask any member of the Dell team to do so either. We owe this to our customers, suppliers, shareholders and other stakeholders. And we owe it to ourselves because success without integrity is essentially meaningless.

Dell's Higher Standard

- Our higher standard is at the heart of what we know as the **"Soul of Dell"** - the statement of the values and beliefs which define our shared global culture. This culture of performance with integrity unites us as a company that understands and adheres to our company values and to the laws of the countries in which we do business. Just as the Soul of Dell articulates our values and beliefs, the following Code of Conduct provides guidance to ensure we meet our higher standard and conduct business the Dell Way - the right way, which is "Winning with Integrity." Simply put, we want all members of our team, along with our shareholders, customers, suppliers and other stakeholders, to understand that they can believe what we say and trust what we do. Our higher standard includes several key characteristics that both underpin the Soul of Dell and provide the foundation for our Code of Conduct:

Dell's Higher Standard

- **Trust** - Our word is good. We keep our commitments to each other and to our stakeholders.
- **Integrity** - We do the right thing without compromise. We avoid even the appearance of impropriety.
- **Honesty** - What we say is true and forthcoming - not just technically correct. We are open and transparent in our communications with each other and about business performance.
- **Judgment** - We think before we act and consider the consequences of our actions.
- **Respect** -We treat people with dignity and value their contributions. We maintain fairness in all relationships.
- **Courage** - We speak up for what is right. We report wrongdoing when we see it.
- **Responsibility** - We accept the consequences of our actions. We admit our mistakes and quickly correct them. We do not retaliate against those who report violations of law or policy.

Codes of Conduct on the International Level

The Code of Ethics for Professional Accountants, issued by the International Federation of Accountants (IFAC), govern the activities of professional accountants worldwide.



In addition to competence, objectivity, and confidentiality, the IFAC's code deals with the accountant's ethical responsibilities in:

- Independence
- Second opinions
- Fees and remuneration
- Marketing professional services
- Acting with sufficient expertise.

Corporate Governance

The system by which a company is directed and controlled.

Board of Directors

Incentives and monitoring for

Top Management

To pursue objectives of

Stockholders



Corporate Governance

An effective corporate governance system should also protect the interests of the company's other **stakeholders**.

Employees

Customers

Creditors

Suppliers

**And the communities in
which the company operates.**

Certified Management Accountant

A management accountant who has the necessary qualifications and who passes a rigorous professional exam earns the right to be known as a Certified Management Accountant (CMA).

Information about becoming a CMA and the CMA program can be accessed on the IMA's website at www.imanet.org or by calling 1-800-638-4427.

Certified Management Accountant

- 美国管理会计师协会（**IMA**）认证处宣布，中文版注册管理会计师认证（**CMA**）考试于**2007年07月02日**正式启动。
- **CMA**认证考试包含了商业经济、公司理财、成本管理、内部控制、业绩衡量、财务报告、决策分析、组织管理、战略规划及对职业道德的强调。根据**IMA**年度薪水调查报告，拥有**CMA**认证的人士比没有认证的人士年薪高**28%**。
- **IMA**已在**07年**六月中旬开始接受中文版**CMA**考试的报名注册。关于**CMA**中文考试的详细说明可登录 www.imanet.org/chinese_cma_landing.asp。

End of Chapter 1

